

Spiels for Your Name

1 Elevator Spiel

2 Job Market Paper Spiel

My job market paper is at the intersection of wealth inequality and quantitative macro. The core question I answer is: *Does allowing for heterogeneous returns in a standard consumption-saving framework help explain the skewed distribution of wealth observed in the data?*

The early literature on wealth inequality focused on whether skewed labor earnings alone could explain the shape of the wealth distribution. But while income is unequal, wealth is far more skewed, especially in the upper tail. Early models then tried adding stochastic returns to wealth as an exogenous process, which did help match the distribution empirically. However, those models don't relate wealth accumulation to household behavior.

My paper is in line with heterogeneous agent macro models which contribute to this discussion. I show that introducing modest heterogeneity in returns on top of labor income risk significantly improves the model's ability to match targeted and untargeted wealth moments. Unlike time preferences or risk aversion, household returns are observable. The estimated distribution of returns from my paper corresponds to empirical evidence on returns from Norwegian administrative data.

There are two key policy implications of my paper. First, capital income taxation reduce wealth inequality more than wealth taxation when returns differ across households. This is because capital income taxes shift the tax burden toward those most productive with capital. Second, from a welfare perspective, in the partial equilibrium setting capital income taxation is preferred by the bottom six out of seven return types. This matters because wealth and capital income taxation are frequently debated in policy circles. My findings suggest that returns heterogeneity should play a central role in evaluating these proposals, both for their distributional impact and welfare consequences.

3 Future Research and Career Aspirations